

Strategic and Financial Analysis of FPT Corporation: AI-First Transition, Competitive Positioning, and Global Expansion as of Q1 2026

1 Executive Summary

FPT Corporation enters Q1 2026 as a financially robust, strategically well-positioned IT services company whose “AI-First” transformation is producing measurable results, though its path to competing with global majors still faces meaningful scale constraints. FY2025 delivered VND 70.1 trillion in revenue (+11.6% YoY) and VND 11.2 trillion in profit after tax (+19.1%), with profit growth significantly outpacing revenue growth — evidence that the shift toward higher-margin AI and digital transformation services is driving genuine margin expansion rather than volume-dependent earnings [1].

The AI-First transition is the most consequential strategic development. FPT’s three-layered FleziPT platform, \$200 million investment in NVIDIA-powered AI factories, and IvyHub agentic AI suite have earned substantive third-party validation, including IDC MarketScape Leader status in conversational AI and multiple Everest Group Major Contender recognitions [2, 3, 4]. The strategy of converting 25,000 engineers into AI-augmented workers positions FPT to deliver productivity-driven margin gains while offering cost-competitive AI services from its Vietnamese talent base [5].

Global expansion is accelerating but remains concentrated. International IT revenue reached approximately \$1.44 billion with newly signed contracts exceeding \$1.5 billion (+23.2%), and FPT climbed to 40th among Asian IT services firms [6, 7]. Japan dominates as the anchor market, on track toward a \$1 billion revenue target by 2027 [8], while landmark deals in the US, Germany, Singapore, and Indonesia demonstrate broadening geographic reach [31–34]. However, FPT’s entire international revenue remains roughly 2% of Accenture’s, limiting competitiveness for the largest global engagements [9]. Revenue growth deceleration from 19.4% to 11.6% also warrants monitoring as the base scales [10].

The critical actionable insight is that FPT’s convergence of AI-first capabilities, a deepening enterprise partnership ecosystem (ServiceNow Premier Partner, NVIDIA, Microsoft), and cost-advantaged delivery model positions it to capture disproportionate share of the mid-market and upper-mid-market AI transformation wave — the segment where its scale disadvantage matters least and its growth premium over incumbents is most pronounced.

2 Introduction

FPT Corporation (HOSE: FPT), Vietnam’s largest technology conglomerate, stands at a strategic inflection point as it enters 2026. Having delivered robust financial results in FY2025 — with revenue surpassing VND 70 trillion and profit after tax growing nearly 20% year-over-year — the company is aggressively pursuing an “AI-First” transformation while scaling its international operations across Japan, the United States, Europe, and emerging markets [1, 7]. FPT now ranks 40th among Asia’s IT services companies and 139th globally, generating over \$1.4 billion in international technology revenue [6]. This report provides a comprehensive evaluation of FPT’s financial health, AI-first strategy execution, competitive positioning relative to global IT majors, and the effectiveness of its geographic diversification as of Q1 2026. With Q1 2026 results expected on April 21, 2026 [1], the analysis draws on FY2025 full-year data, analyst forecasts, and the latest strategic developments through March 2026.

3 Financial Performance and Outlook

FY2025 Results: Profitable Growth with Margin Expansion. FPT reported full-year 2025 revenue of VND 70,113 billion, representing 11.6% year-over-year growth, while profit after tax reached VND 11,226 billion, expanding 19.1% over the prior year [1]. Pre-tax profit climbed to VND 13,039 billion [7]. The company’s gross profit of VND 25,895 billion translates to a gross margin of approximately 36.9%, with a net profit margin of roughly 16.0% and a pre-tax margin of about 18.6% [1]. Earnings per share rose 21.4% to VND 7,857, meaningfully outpacing revenue growth and signaling genuine margin expansion rather than top-line-driven earnings [1].

The quality of FPT’s earnings is underscored by the fact that profit growth (~19% PAT) significantly exceeded revenue growth (~11.6%), driven by the high-margin Technology sector, which contributed 61% of group revenue and 47% of pre-tax profit [11]. The company’s cash position also strengthened, with cash and cash equivalents rising to VND 10,540 billion at year-end 2025, up from VND 9,315 billion at end-2024 [1]. This liquidity buffer provides strategic flexibility for continued M&A activity and AI infrastructure investments.

Growth Trajectory and 2026 Outlook. It is worth noting that FPT’s revenue growth decelerated from approximately 19.4% in FY2024 to 11.6% in FY2025, though profitability growth remained robust [10]. In FY2024, FPT had recorded revenue of VND 62,849 billion with pre-tax profit growth of 20.3% [10]. Looking ahead, analysts forecast FPT’s earnings and revenue growth at approximately 15.7% and 12.6% per annum respectively, with EPS expected to grow by about 14.5% per annum [12]. Broader market sentiment in Vietnam is also supportive, with many Vietnamese corporates setting 20–30% full-year profit growth targets for 2026 [13].

Metric	FY2024	FY2025	YoY Change
Revenue (VND B)	62,849 [10]	70,113 [1]	+11.6%
Pre-tax Profit (VND B)	11,071 [10]	13,039 [7]	+17.8%
Profit After Tax (VND B)	~9,425	11,226 [1]	+19.1%
Gross Margin	~36%	~36.9% [1]	Expansion
Net Margin	~15%	~16.0% [1]	Expansion
EPS (VND)	~6,470	7,857 [1]	+21.4%
Cash & Equivalents (VND B)	9,315 [1]	10,540 [1]	+13.2%

Table: FPT Corporation Key Financial Metrics, FY2024–FY2025

4 AI-First Transformation: FleziPT and the Agentic AI Stack

The FleziPT Platform Architecture. At the core of FPT's AI-first strategy is FleziPT, a comprehensive platform structured across three interconnected layers. The Flezi Foundation layer drives internal transformation through an AI-driven software development lifecycle (SDLC), incorporating Responsible AI Governance and co-innovation partnerships with NVIDIA, Microsoft, SAP, and Landing AI. The Flezi Workforce layer is transforming FPT's traditional engineering base into 25,000 AI-Augmented Engineers while deploying Digital Workers to automate routine tasks. The Flezi Verse layer delivers customer-facing AI offerings, including the IQ Data Platform and Flezi Agents [5]. This three-tier approach ensures that AI permeates not only FPT's client deliverables but also its internal operations and talent development.

IvyHub and IvyChat: Enterprise Agentic AI. FPT's IvyHub platform serves as a unified agentic AI solution — a one-stop shop featuring a low-code/no-code interface that enables enterprises to create custom AI models and manage multiagent processes spanning conversational AI and workflow automation. IvyChat, a key product within IvyHub, provides comprehensive AI-powered conversational solutions for enterprises, including chatbots, virtual assistants, and voice agents [2]. The platform's emphasis on accessibility through low-code interfaces positions FPT to capture demand from enterprises seeking rapid AI deployment without deep technical expertise.

NVIDIA Partnership and AI Factory Infrastructure. FPT has invested \$200 million to establish AI factories powered by NVIDIA H100 Tensor Core GPUs and NVIDIA AI Enterprise software, creating a one-stop shop for AI and cloud services across Vietnam, Japan, and other markets [14]. In partnership with NVIDIA and DDN, FPT has developed two advanced AI factories in Vietnam and Japan, delivering high-performance computing capabilities and end-to-end AI lifecycle services [15]. The broader AI Factory ecosystem includes partnerships with SCSK, ASUS, Hewlett Packard Enterprise, VAST Data, and DDN Storage [16]. In 2025, the FPT AI Factory platform successfully launched 43 AI services covering the full AI lifecycle, from data processing and model training to deployment, inference, and monitoring [17].

Industry Analyst Recognition. FPT's AI capabilities have earned significant third-party validation. FPT Software was positioned as a Leader in the IDC MarketScape: Asia/Pacific AI-Enabled Front Office Conversational AI Software 2025 Vendor Assessment, which evaluated 17 vendors and recognized FPT for its end-to-end offering leveraging NVIDIA's high-performance computing stack [2]. Additionally, FPT achieved Major Contender status in at least three Everest Group PEAK Matrix 2025 assessments: Application Development Services for AI Applications (evaluated among 35 providers) [3], Banking IT Services (its first appearance in this benchmark, among 41 providers) [4], and Digital Transformation Services for Mid-market Enterprises [18]. FPT was also recognized among 14 Representative Vendors in the Gartner Market Guide for Microsoft 365 Implementation and Support Services 2026 [19].

5 Global Expansion and Geographic Diversification

FPT's international expansion strategy combines organic growth in anchor markets with targeted M&A and new market entries. The company's overseas IT services revenue reached approximately \$1.44 billion in FY2025, growing 14.3% year-over-year, while newly signed international contracts surpassed \$1.5 billion, a 23.2% increase [7]. In FY2024, foreign IT services revenue had grown 27.4% to VND 30,953 billion [10], and digital transformation revenue from foreign markets surged 37% to VND 14,263 billion, driven by demand for cloud computing, AI, and data analytics [10].

Chart Explanation: This chart illustrates FPT's estimated geographic revenue distribution across key international markets in FY2024. Japan is the dominant market, having surpassed \$500 million in revenue with 32.2% year-over-year growth [20], while APAC (excluding Japan) grew 34.8% [10]. Landmark deals in the US (\$225M), Germany (\$115M), Singapore (\$110M), and Indonesia (\$67M) highlight the breadth of FPT's global footprint [11, 21].

Japan: The Anchor Market. Japan remains FPT's largest and most strategically important international market. Revenue in Japan surpassed \$500 million in 2024, growing 32.2% year-over-year (36.3% in Japanese yen terms) [20]. Through the first seven months of 2025, Japan revenue reached VND 8,590 billion, maintaining 27.5% growth [22]. FPT has set an ambitious

FPT International IT Services: Geographic Revenue Distribution (FY2024) with Key Growth Rates

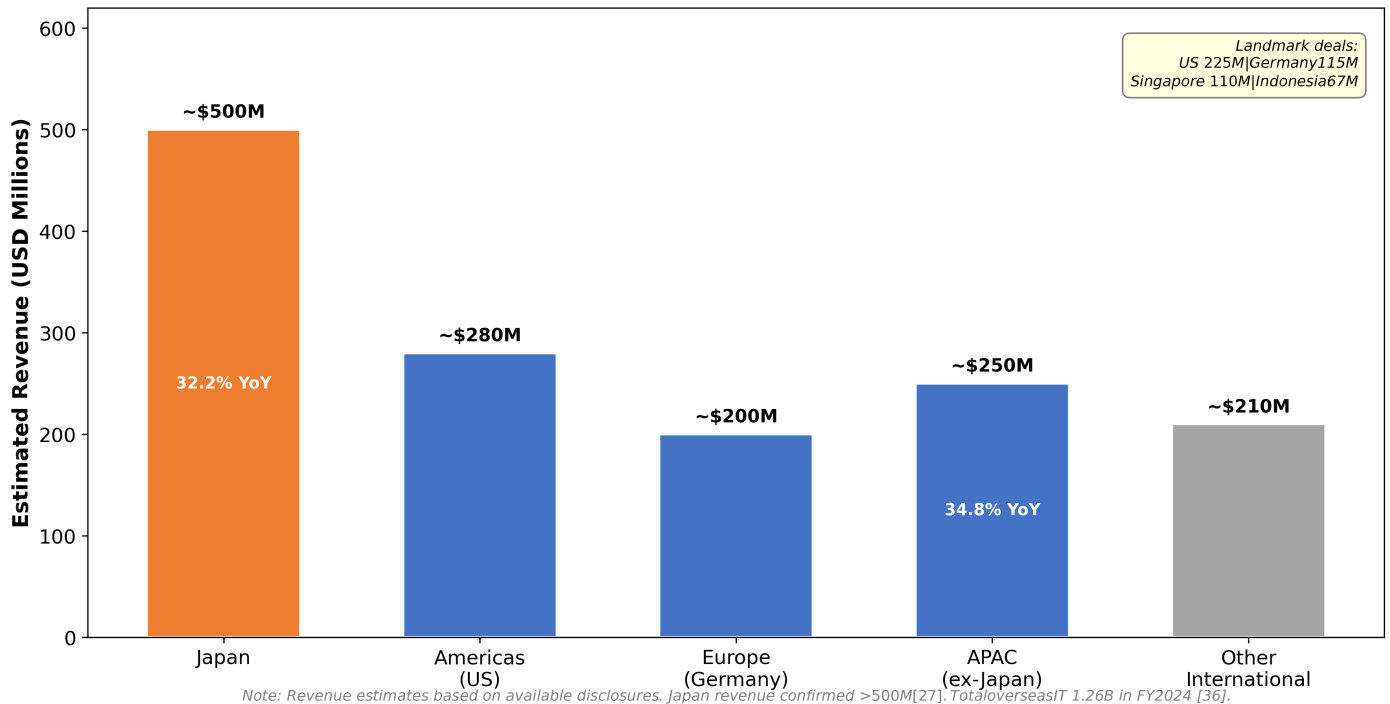


Figure 1: FPT Geographic Revenue Distribution

target of reaching \$1 billion in Japan revenue by 2027 [8], supported by the acquisition of NAC (March 2024) and COBOL PARK in 2025 [23].

Americas, Europe, and Emerging Markets. FPT secured several landmark projects in 2024, including deals worth \$225 million in the United States, \$115 million in Germany, and \$110 million in Singapore [21]. In April 2025, FPT signed a \$67 million framework agreement with KMP Aryadhana, its largest contract to date in the Indonesian market [11]. The company's M&A-driven expansion continued in 2025 with acquisitions of David Lamm Consulting in Germany, Daythree in Malaysia, and Blueward in South Korea [23]. New offices were opened in Dalian (China), Gothenburg (Sweden), and Riyadh (Saudi Arabia — FPT's Middle East headquarters) in 2024 [10].

Deal Momentum. In Q1 2025, FPT won 9 large-scale international projects each exceeding \$10 million, marking a 125% increase over the same period in the prior year, while Global IT Services pre-tax profit grew 24.8% [11]. The company's five-year revenue CAGR stands at approximately 20%, growing from VND 29,830 billion to VND 62,849 billion [22], with the technology sector contributing 62% of total revenue [10].

6 Competitive Positioning in Global IT Services

FPT operates in a global IT services market dominated by significantly larger players. While FPT's international IT revenue of approximately \$1.44 billion [7] is a fraction of the revenues generated by Accenture (~\$65 billion) [9], TCS (\$31 billion) [24], Infosys (\$20 billion) [24], or Wipro (~\$11 billion) [25], FPT's growth trajectory and AI-first positioning create meaningful competitive differentiation.

Chart Explanation: This chart highlights the significant scale gap between FPT and global IT services leaders. While FPT's international IT revenue of \$1.44 billion is modest compared to industry giants, its 14.3% year-over-year growth rate [7] outpaces most established competitors, reflecting the company's rapid market share gains from its current base.

Growth Premium and Market Share Gains. FPT's 14.3% international revenue growth and 23.2% increase in newly signed overseas contracts [7] represent a substantial growth premium over larger, more mature competitors. Digital transformation services in overseas markets grew 16.8% to approximately \$682 million [7], reflecting strong demand for FPT's cloud, AI, and data analytics capabilities. According to Gartner Market Share data, FPT climbed six positions to rank 40th in Asia and moved up 18 positions to 139th globally in IT services in 2024 [6].

Strategic Partnerships as Competitive Moats. FPT's partnership ecosystem serves as a key differentiator. The company achieved ServiceNow Premier Partner status in March 2026, the second-highest tier in ServiceNow's program, with nearly 400 ServiceNow-certified professionals and over 1,800 certifications [26]. This progression — from Consulting & Implementation

FPT vs. Global IT Services Competitors: Revenue Scale Comparison

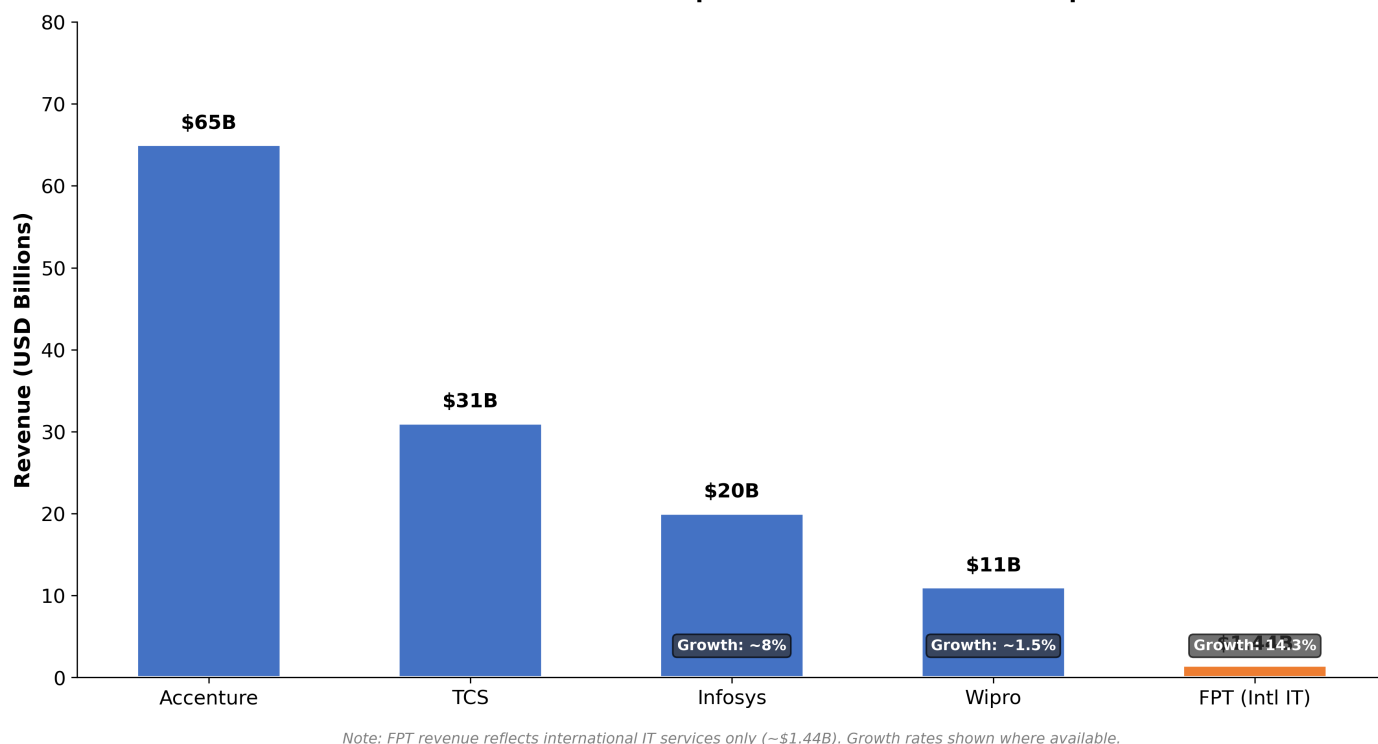


Figure 2: FPT vs Global Competitors

Partner in the US (2021), to Build Partner in Germany (2022), expansion into Japan (2023), first Reseller Partner in Vietnam (2025), and now Premier Partner — demonstrates systematic capability building [26]. FPT is targeting Elite Partner status within 12 months [26]. The company also holds OutSystems Premier Partner and Authorized Training Partner status in APAC [16], further broadening its enterprise platform capabilities.

7 Strategic Risks and Outlook

Despite FPT's strong momentum, several strategic considerations warrant attention. Revenue growth decelerated from approximately 19.4% in FY2024 to 11.6% in FY2025 [10], raising questions about whether the company can sustain high growth rates as its revenue base expands. The scale gap versus global IT majors remains substantial — FPT's entire international IT revenue is roughly equivalent to one quarter of Wipro's annual revenue — which limits its ability to compete for the largest global enterprise contracts. Geographic concentration in Japan, while a strength, also creates currency and market-specific risks, particularly given yen volatility.

On the positive side, FPT's AI-first transformation is well-timed to capture the accelerating enterprise demand for AI services. The combination of proprietary platforms (FleziPT, IvyHub), infrastructure investments (NVIDIA AI Factories), and analyst recognition (IDC Leader, Everest Major Contender) positions FPT as a credible AI transformation partner for mid-market and increasingly large enterprises. The company's 25,000 AI-Augmented Engineers [5] represent a workforce strategy that could drive productivity gains and margin expansion over time.

Looking ahead to 2026, analyst consensus points to approximately 15.7% earnings growth and 12.6% revenue growth [12], suggesting continued profitable expansion. FPT's pipeline of over \$1.5 billion in newly signed international contracts [7], combined with its expanding partnership ecosystem and M&A activity across multiple geographies, provides a solid foundation for sustained growth. The key strategic question for FPT is whether its AI-first positioning and cost-competitive Vietnamese talent base can enable it to punch above its weight class in the global IT services arena — and the early evidence suggests it is making meaningful progress toward that goal.

8 Conclusion

FPT Corporation enters Q1 2026 from a position of financial strength and strategic clarity. The company's FY2025 results demonstrate that its AI-first pivot is translating into tangible financial outcomes, with profit growth outpacing revenue growth and margins expanding across the business [1, 11]. The FleziPT platform, NVIDIA-powered AI factories, and IvyHub agentic AI stack provide a differentiated technology foundation, validated by IDC MarketScape Leader status and multiple Everest Group recognitions [2, 3, 4, 18]. Internationally, FPT's geographic diversification is accelerating through a combination of

organic growth, landmark deals, and strategic M&A across Japan, the US, Europe, and emerging APAC markets [7, 23, 10]. While the scale gap with global IT majors remains significant, FPT's superior growth rates, deepening partnership ecosystem, and AI-first positioning suggest the company is well-placed to continue gaining market share in the rapidly evolving global IT services landscape.

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